Discussion of “Differential Returns to Securitization: Evidence and Impact”

Paul Willen

Federal Reserve Bank of Boston and NBER

NBER Industrial Organization of Housing Markets
Stanford University, December 12, 2024

This presentation reflects the views of the author and doesn’t necessarily reflect the official positions of the Federal Reserve Bank of Boston or the Federal Reserve System.

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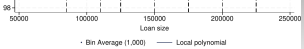
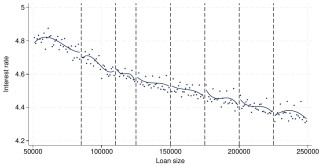
Main Fi



(c) Retail price: Interest rate



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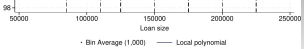

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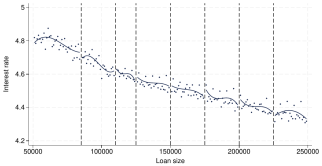

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  - Wholesale prices goes up discretely – look at cutoffs

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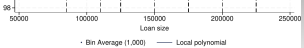

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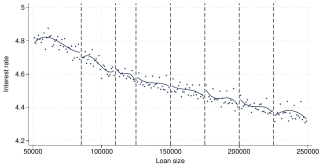

- Loans are trade in "spec pools" at fixed cutoffs
  - Wholesale prices goes up discretely – look at cutoffs
- Why don't lenders pass on benefits?
  - Authors suggest market power explanation
  - Important findings on market structure
  - I'm going to play devil's advocate.

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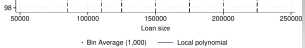

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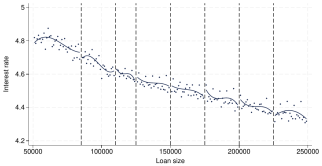

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- **No bargaining** - institutional, not retail pricing

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- **Result**: Near-perfect pass-through

(TBA → Rate Sheet). ((Rate Lock → [future] Auction).

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- **Unobservables** - LO discretion, borrower bargaining
  - (Bhutta, Fuster, Hizmo on rate dispersion)

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- **Timing mismatch** - Rate lock today, auction 30-60 days later
- **Unobservables** - LO discretion, borrower bargaining
  - (Bhutta, Fuster, Hizmo on rate dispersion)
- **Different mechanisms** - Loan Officer not the Lender – market power not an issue.

Loan Amount*	Adjustment
$50,000 - 85,000	1.000
$85,001 - 110,000	0.750
$110,001 - 125,000	0.625
$125,001 - 150,000	0.500
$150,001 - 200,000	0.375
$200,001 - 250,000	0.250
New York*	0.500
Florida*	0.250
Investment/2nd home*	0.250

ı's Spec Pool Passthrough Analysis

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Conventional: Partial Pass-Through

- Spec pool payup: $\approx$ 100 bps

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Conventional: Partial Pass-Through

- Spec pool payup: $\approx$ 100 bps
- Rate sheet adjustment: $\approx$ 75 bps

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- $\approx$75% pass-through

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Government Pricing Adjustments

Government FICO Price Adjustments

	<= 110K	> 110K <= 225K	> 225K
760 +	0.250	0.225	0.200
740 - 759	0.200	0.200	0.200
720 - 739	0.150	0.150	0.150
700 - 719	0.075	0.075	0.075
680 - 699	0.150	0.050	0.000
660 - 679	-0.625	-0.250	-0.125
640 - 659	-1.000	-0.500	-0.375
620 - 639	-1.250	-0.750	-0.625
600 - 619	-2.000	-1.500	-1.375
580 - 599	-2.375	-1.875	-1.750

Government Adjusters

High Balance	-0.250
Manufactured	-1.000
2-4 unit	-0.500
Temporary Buydown	-0.250
Manual UW (FHA only)	-0.250
VA Full Doc Manual U/W	-0.375
VA Non-Owner Occupancy & LTV <=95	-0.500
VA Non-Owner Occupancy & LTV >95	-1.000
VA Cashout Refinance <=90	-0.500
VA Cashout >90 LTV	-1.500
VA IRRRL	0.000

** NMLS# 1928660 A&D Mortgage LLC. Programs and Pricing are subject to change without notice. This rate sheet is intended to be used by mortgage professionals only and is not an advertisement under Section 226.24 of Regulation Z, and is not meant for use by the general public.

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GNMA: Negative Pass-Through!

- 760 FICO Slight payup

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- **Wrong sign!** I think reflects fixed costs.

Going Forward

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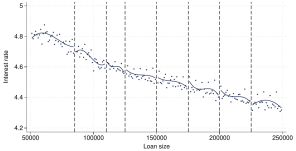

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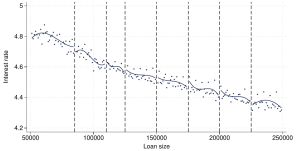

discontinuities

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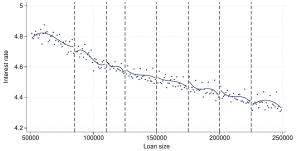

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- Focus on rate lock date
  - Auction payups superior to JP Morgan payups for new locks
  - Compare to rate sheet data, ideally

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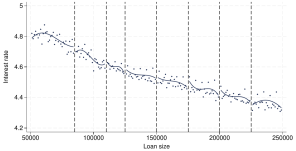

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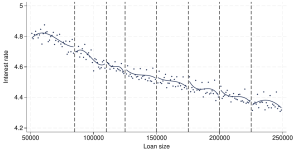

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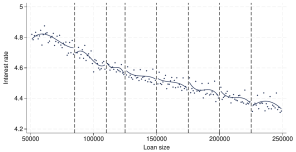

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- *Optimal Blue Insights* as substitute rate sheet data source